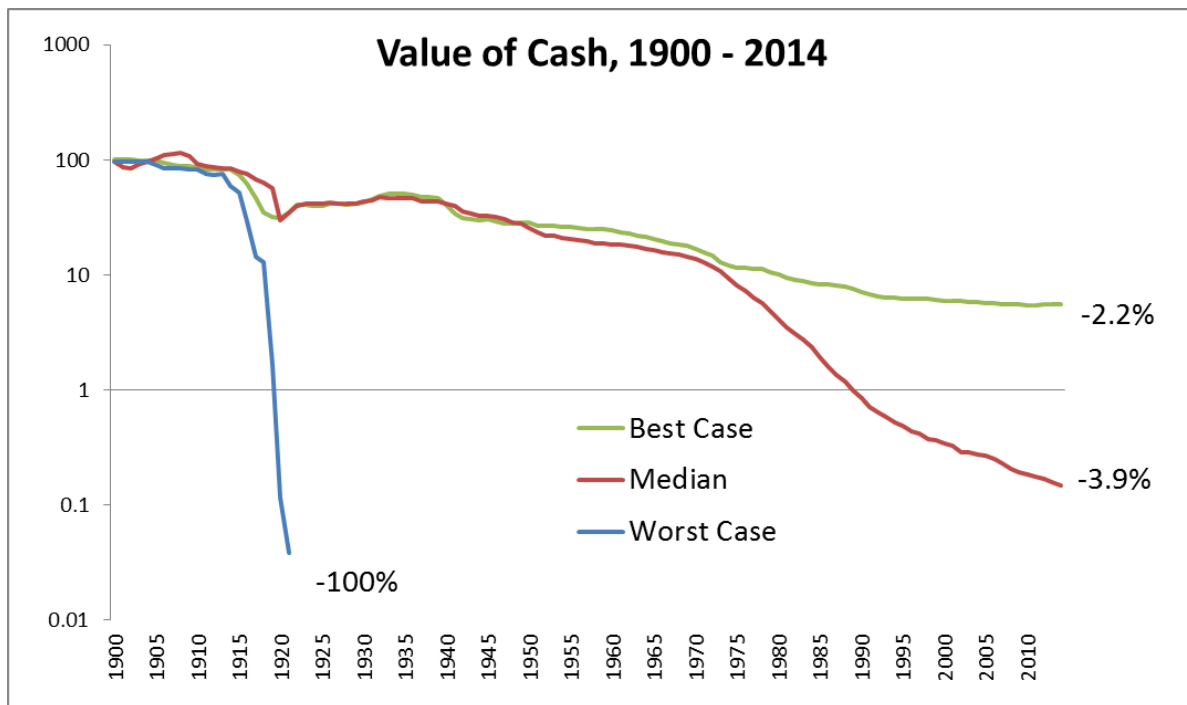


FIGURE 4 – Cash Real Returns, 1900-2014

Best-Case: -2.2% per year

Middle: -3.9%

Worst-Case: -100%



Source: Morningstar, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press, 2002, Credit Suisse Global Investment Returns Sourcebook 2015

Next up are real returns for short-term government bills. These instruments do all they can just to keep up with inflation. You're not usually going to make any money, as Figure 5 shows, but at least they don't lose 4% a year like the mattress does. We also include the "World" which is the global market capitalization weighted portfolio which weights the portfolio based on size of each country's stock market.